

Disclosure is fundamental in addressing agency conflict in delegated investment management. Many studies show that greater transparency in fee payments lowers agency costs and results in better performance for investors.¹⁶ Unfortunately, fund managers use obfuscation of fees to their advantage. Bundling, or making fees more opaque, results in lower returns to investors and higher payments to fund managers. Financial advisors often receive kickbacks from mutual fund companies and so have incentives to steer investors into poorly performing products, or ones ill-suited for asset owners. The more transparent these kickbacks are, the better the asset owner can see the distortions that other agency relations place on her welfare.

The Agent Has a Career, Too

Agents serve current principals, but they also wish to nurture relationships with future principals. That is, agents also have *career concerns*. Chevalier and Ellison (1999) study the labor market of mutual fund managers. They find that younger managers are more likely to be fired when performance is bad. Younger managers do not want to differ from the status quo—they hug benchmarks and want to hold more conventional portfolios. This is all the more reason to use smart, factor benchmarks: a young manager who acts in the principal's best interest by taking on nonlinear factor risk when this factor risk is not reflected in a run-of-the-mill S&P 500 benchmark is likely to be rewarded with termination when her performance dips below the S&P 500. Factor benchmarks benefit both agents and principals.

3.5. PAYING FINANCIAL ADVISORS AND ASSET MANAGERS

There are several methods of payment:

Commissions: Many financial advisors act as brokers and receive compensation—which can be substantial—for products they sell to their clients. This gives advisors an incentive to steer clients to the wrong funds. It also encourages financial advisors to recommend excessive trading to their clients to maximize fees. Bergstresser, Chalmers, and Tufano (2009) show that broker-sold funds underperform direct-sold funds, even before subtracting any distribution charges! Brokers exhibit no evidence of market timing ability, or superior asset allocation skills, for their clients. I interpret Bergstresser, Chalmers, and Tufano's sad results as a prime example of the principal-agent problem: brokers put their own interests first. Investors should try never to compensate their financial advisors this way.

¹⁶ See, for example, Gabaix and Laibson (2006), Stoughton, Wu, and Zechner (2011) and Edelen, Evans, and Kadlec (2012). Some economists, like Carlin and Manso (2010), have built models for the optimal amount of fee obfuscation that a fund manager should practice to deceive asset owners!